MARKET SEGMENTATION PROJECT

Build the Lineup

Student Guide

In the target marketing project you studied survey data to find who buys a product. In Million Dollar Media Buy you decided which customers to spend money reaching. Now you go one step further: **instead of selling one product to everyone, you will design a different version for each segment of the market and decide what each version should cost.**

> **The big question:** Why do companies sell a basic, a mid-level, and a premium version of the same product? And how do they decide what goes in each one and what each one costs?

KEY TERMS

Term	What it means
Market segmentation	Dividing a whole market into smaller groups of customers who share the same needs, wants, or buying habits.
Market segment	One of those groups. People inside a segment are similar to each other and different from people in other segments.
Product line	A group of related products sold by one company, such as a basic, mid, and premium version. Also called a lineup.
Feature	Something a product has or does. Every feature adds to what the product costs to make.
Unit cost	What it costs the company to make one unit. Base cost + the cost of every feature added.
Price point	The specific price a company charges for a version.
Willingness to pay	The highest price a customer would pay. As price goes up, fewer people in a segment are willing to buy.
Must-have	A feature 60% or more of a segment requires before they will buy.
Nice-to-have	A feature 30% to 59% of a segment wants. It helps, but it is not a deal-breaker.
Profit per unit	Price − unit cost. What the company keeps from each sale.
Total profit	Buyers × profit per unit.
Cannibalization	When a company's cheaper version steals customers who would have paid for its more expensive version.

HOW THE NUMBERS WORK

Your case file has two survey charts. The first shows which features each segment requires. The second shows how many people in each segment would buy at each price. Use them with these rules:

1. Unit cost	Base cost + the cost of every feature you add.
2. Fit	Start at 100%. Add 5% for every nice-to-have you include. Then cut the result in half for every must-have you leave out.
3. Buyers	Segment size × % who would buy at your price × Fit. Round to a whole number.
4. Profit	Buyers × (Price − Unit cost)

Features under 30% for a segment do nothing for that segment except raise your cost.

WORKED EXAMPLE: MAYA'S SNEAKER RESTORATION

Maya is building a package for her first segment, the **Weekend Wearers** (600 potential customers). Her base cost is $5 a pair. Her survey says this segment's must-haves are Deep clean (72%), Sole whitening (82%), and Fresh laces (69%).

Step	Math	Result
Unit cost	$5 + $3 + $4 + $2	$14
Fit	All 3 must-haves, no nice-to-haves	100%
Test price $30	600 × 61% × 100%	366 buyers × ($30 − $14) = $5,856
Test price $45	600 × 25% × 100%	150 buyers × ($45 − $14) = $4,650

The higher price makes more per pair but loses too many buyers. Maya charges $30. Notice she left out color repaint and the display box. Weekend Wearers barely care, so those features would only shrink her profit.

YOUR STEPS

1. **Read your case file.** Answer the warm-up questions on page 1 first.
2. **Name each segment.** Give each one a name and write a one-sentence persona of a typical customer.
3. **Sort the features.** Use the survey chart to mark each feature as Must, Nice, or blank for every segment (Feature Sort below).
4. **Build three versions.** Choose features for each segment and figure out the unit cost.
5. **Set the prices.** Test at least two prices for each version. Keep the one with more profit.
6. **Compare to one version.** Sell your Segment B version to all three segments at one price. Is the lineup worth it?
7. **Present.** Fill in the slide template and pitch your lineup to the class.

STEP 2: NAME THE SEGMENTS

	Our name for them	Persona: describe one typical customer in a sentence
Segment A		
Segment B		
Segment C		

STEP 3: FEATURE SORT

Write M for must-have (60%+), N for nice-to-have (30–59%), or leave it blank (under 30%).

Feature	Cost	Segment A	Segment B	Segment C

VERSION FOR SEGMENT A

Segment name	
Version name	
Features included	
Unit cost (base + features)	
Must-haves left out?	

Price tests

Price	% who would buy	Fit	Buyers	Profit

Why this segment will want this version:

VERSION FOR SEGMENT B

Segment name	
Version name	
Features included	
Unit cost (base + features)	
Must-haves left out?	

Price tests

Price	% who would buy	Fit	Buyers	Profit

Why this segment will want this version:

VERSION FOR SEGMENT C

Segment name	
Version name	
Features included	
Unit cost (base + features)	
Must-haves left out?	

Price tests

Price	% who would buy	Fit	Buyers	Profit

Why this segment will want this version:

STEP 6: ONE VERSION FOR EVERYONE?

Take your Segment B version. Sell that same version, at the same price, to all three segments. Use the rules to find each segment's profit.

	Segment A	Segment B	Segment C
Fit			
Buyers			
Profit			
		One-version total profit:	
		Lineup total profit (A + B + C versions):	

THINK IT THROUGH

1. Which of your three versions earns the most total profit? Is it the one with the highest price? Explain why or why not.

2. Look at the price chart. Which segment loses customers the fastest as the price rises? What does that tell you about how to price for them?

3. What would stop a customer in your highest-priced segment from just buying your cheapest version? How do your features prevent that?

PRESENTATION (6 TO 8 SLIDES, USE THE TEMPLATE)

- Title: company and team names
- Meet the Market: your three segment names and personas
- One slide per version: name, features, price, buyers, profit, and why it fits that segment
- The Lineup: all three versions side by side with total profit
- One Version vs. Lineup: your Step 6 numbers
- Recommendation: which version to launch first and one risk to watch

RUBRIC (25 POINTS)

Category	Full credit looks like	Points
Segments	Each segment has a fitting name and a persona backed by the profile data.	/ 4
Feature choices	Every version includes its must-haves and skips features that segment doesn't care about.	/ 6
Pricing	Each price was tested against at least one other price using the survey data.	/ 5
Math	Unit cost, Fit, buyers, and profit are correct for all three versions.	/ 5
Presentation	Clear slides, lineup vs. one-version comparison, and a recommendation backed by numbers.	/ 5
Total		**/ 25**